

DLF sought to make an investment of Rs 31,000 crore in four units in Punjab and Haryana and others such as Bharat Forge, Videocon, Suzlon, etc were ready with over Rs 1,000 crore each for SEZs in places like Pune and Mangalore. Even the lack of clarity in norms and government flip-flop till a year back did not dampen the enthusiasm of players. The result: a mind-boggling 110 operational SEZs handling businesses from biotech to IT/ITES and other services, 574 approvals, 346 notifications, and investments worth Rs 98,498 crore across 39,120 hectares of land.

It is this mad rush for SEZ approvals that also brought many non-serious players into the fray for whom SEZ applications became a tool for ac-

SEZs were initially capitalised with government money. India though is unique. The idea here was to bring in private resources and management to create an ecosystem for growth. The Rs 1,10,000 crore from 2006-09 poured into SEZs has all come from private sector. The rush though has now turned into a logjam. "Investments have also slowed down substantially," confirms Mittal.

This was, according to Mittal, bound to happen with the global slowdown affecting the SEZ plans of major players. The main attraction of the industrial houses clamouring for SEZ projects a few years ago was the export potential. Essar SEZ Hazira Ltd, which invested close to Rs 8,000 crore in four manufacturing units in Hazira,

Commerce Ministry official says that the entire real estate sector has been hit by a credit crunch. According to industry sources, firms like DLF and Parsvnath have been unable to raise funds for their projects. This is especially seen in the IT/ITES SEZs, a sector which has seen a drastic fall in exports and earnings. The country's largest real estate player, DLF, has approached the Government to surrender five of its nine IT/ITES SEZs, confirms Rajeev Talwar, director, DLF. "We are the biggest provider of IT space. All of us were caught up in the 10 per cent growth story, a potential driver of which was exports. The downturn which has hit exports badly is the main reason for companies pulling out of SEZs. It has hit IT exports badly,

LAND ACQUISITION Political friction, lack of rehabilitation policy and clearance delays have hurt timelines.

GLOBAL SLOWDOWN Shrinking global growth has hit demand, affecting exports and investments.

DIRECT TAX CODE Fearing withdrawal of tax sops, developers have gone into cancel mode.

RED TAPE Lack of clarity in policy and bureaucratic resistance to regulatory changes has hit new projects.

POLICY HURDLES No flexibility to switch from exports to domestic markets has made SEZs unviable.

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quiring land rather than for creating infrastructure. Now, fear of being seen as indulging the companies' real estate play has led the Government to tighten the framework and change rules, shattering the dream run of corporate India. As a result, at least 10 big developers have got denotification, allowing them to withdraw from the projects. Of course, the loss from this pullout could well be in thousands of crores and lakhs of potential employment opportunities.

Interestingly, the world over SEZs were created by governments to draw investments to regions and sectors with public funds. China's successful

has sought permission to pull out of a project, citing change in the global perspective which will make it difficult to achieve its exports target. Royal Palms India Pvt Ltd too has requested for denotification stating lack of feasibility due to the global scenario and market conditions. Besides a demand slump, developers cite fund shortage as the reasons for seeking denotification and delay in projects. A

leading to a huge resource crunch, and prompting the move to denotify the SEZs."

The demand slump has also led to idle excess capacity which, thanks to stringent norms, cannot be used, points out Pradeep Jain, chairman, Parsvnath Developers. "At a time of funds crunch, we are constrained by the absence of any provision for selling part of the land notified for the SEZ

“ We have written to the Finance Ministry to retain all the fiscal incentives for the special economic zones in the new direct tax code. ”

ANAND SHARMA, Commerce Minister

